Project Overview

College Org Financing & Tokenized Receivables on FraxNet

Blockchain at Berkeley x Frax

Project Summary

Blockchain at Berkeley will design, build, and deploy a receivables financing platform for student organizations. Clubs and orgs will be able to draw instant liquidity against a submitted reimbursement claim instead of waiting out ASUC's (and similar student governments) disbursement process.

Scope of Work

Blockchain at Berkeley's Design and Engineering department will own the full build, both protocol and product. On the protocol side, this covers the smart contracts governing claim submission, lending, and repayment. An org submits a reimbursement claim, draws down financing from the pool, and repayment settles once ASUC disburses. Where it doesn't, there is recourse to a named officer guarantor. On the product side, this covers the interfaces orgs and lenders actually use: an org-facing flow for submitting claims, tracking status, and drawing funds, and a lender-facing flow for depositing into the pool, tracking yield, and monitoring exposure across the book.

The team will also handle deployment, integrating against FraxNet's existing identity, KYC, and account primitives. This work will be staffed across 10-14 members of Blockchain at Berkeley's working across engineering, product design and go-to-market.

Frax Responsibilities

Frax will provide Blockchain at Berkeley with the APIs, documentation, and developer support required to integrate against FraxNet, specifically identity and KYC, account read and write access, and transaction initiation. This includes reasonably timely access to a Frax engineering point of contact for integration questions as they arise. The timeline assumes the team is building against real, working interfaces (or very soon to be). Frax will also deploy the project at a subdomain of frax.com (e.g. college.frax.com), when the project is ready for deployment.

Lending and Subsidy Structure

Frax will provide the initial lending capital to seed the liquidity pool for the first $50,000 in loan volume, helping kickstart the market, so early borrowing orgs see a net zero rate while lenders still see a real, market-discovered one. Past that initial volume, Frax will help source LPs into the pool instead of continuing to underwrite growth directly, since the long-term structure depends on genuine third-party liquidity.

Go-to-Market and Growth

The hackathon on October 11th serves as the initial wedge, giving the team a concrete, time-boxed event with real reimbursement volume to launch against, rather than asking a single org to be the first-ever user with no reference point. From there, growth runs primarily through Blockchain at Berkeley's own network. The team has direct relationships with the leadership of other Berkeley and blockchain orgs. Onboarding the first few orgs is a matter of activating existing relationships, not building a sales motion from scratch.

Once a handful of orgs are live and have gone through a full reimbursement cycle, the plan is to keep pushing the product further across our network (as well as to lean on word of mouth) within the collegiate club ecosystem. Treasurers and officers across orgs generally know one another, and a visible example of a peer club getting paid out same-day instead of waiting months should spread quickly. As the base grows, we would also pursue more structured channels: club fairs, direct relations with the ASUC (and student governments), and direct outreach to org

treasurers, since they feel this pain point most directly and are the natural first point of contact at any new organization. What is described in the later portion of this section is work that will be, under current timelines, pursued in the next semester as we transition to generate real revenue.

Transition Plan

The plan for next semester is to transition this from a subsidized pilot into a self-sustaining project funded by direct revenue, rather than continuing to rely on Frax's bootstrapping cost or interest subsidy indefinitely.

Future Engagement

Both parties see this as the start of a long-term partnership rather than a one-semester build with compensation earned and no continuation. Strong execution in Semester 1 is intended to unlock a Semester 2 engagement with additional milestone-based compensation. The specific terms of that engagement will be defined once both parties have seen how the product performs and where the biggest opportunities are, rather than being fixed now.

Market Research

This is not an ASUC-specific issue. Brief research of other campuses, from large public campuses to private colleges, turned up the same pattern. In each case, a central student-government-controlled account holds club funds, members front costs personally, and a multi-stage approval process creates delays ranging from several weeks to multiple months, with some clubs reporting waits of three to four months even when every form was filed correctly. Students frontloading real money against a bureaucratic disbursement process outside their control appears to be a structural feature of how student governments handle club funding broadly, which supports the expansion path described below.

Long-Term Vision

Blockchain at Berkeley's own receivables are the proof point. Every club at Berkeley faces the same problem, members fronting real money and waiting months to be made whole, and that adds up to seven figures in receivables every semester across hundreds of organizations on this campus alone. The plan is to validate the model with our own club and a handful of early adopters this semester, then extend to the rest of Berkeley's club ecosystem, fraternities and sororities included, once the mechanics and the org credit-scoring model hold up against real repayment data.

From there, the same underbanked-org problem exists at essentially every college with any form of student government-controlled club funding, which is close to universal. The org-onboarding playbook, the recourse and guarantor structure, and the pooled lending mechanics all transfer to a new campus with minimal rework, making this a repeatable motion rather than a one-off product. Blockchain at Berkeley is also positioned to open doors a cold outreach effort could not, given existing relationships with blockchain clubs at peer universities, which provides a real distribution advantage beyond Berkeley. Longer term, if ASUC or peer student governments come onto FraxNet themselves, the receivable stops being an external claim and becomes a native FraxNet-to-FraxNet transfer. This closes the loop and gives Frax a durable moat in a market no traditional bank or fintech is positioned to serve.